

Fabio Franceschini

University of Bologna

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Fields of Interest

Asset Pricing, Economic Growth, Green Finance

References

M. Gonzalez-Eiras

Associate Professor
University of Bologna

M. M. Croce

Professor of Finance
Bocconi University

G. Cavaliere

Full Professor
University of Bologna

P. Peretto

Full Professor
Duke University

Academic positions

Research Fellow

University of Bologna, Italy

2024-2025

Education

PhD in Economics

University of Bologna, Italy

Advisors: M. Gonzalez-Eiras, M. M. Croce

2024

Visiting Student at London Business School, UK

Sponsor: H. Kung

Courses: Asset Pricing (audit), Empirical Finance (audit)

2022-23

Health-related leave (May 2021 – Mar 2022)

Visiting Student at Bocconi University, IT (Virtual)

Sponsor: M.M. Croce

Courses: Advanced Topics in Asset Pricing (A+), Econometric Methods for Finance and Macroeconomics (A-)

2020-21

Visiting Student at Vienna Graduate School of Finance, AT (Virtual)

Sponsor: C. Wagner

Courses: Asset Pricing (audit)

2020

	MSc in Advanced Economics and Finance <i>Copenhagen Business School, Denmark</i> Thesis: "Intermediary Asset Pricing and Betting Against Beta"	2018
	Credit Student at <i>University of Copenhagen (DIKU), DK</i> Courses: Machine Learning, Natural Resources Economics	2017
	BSc in Business Administration <i>University of Bologna, Italy</i> Thesis: "How the financial sector's development affects real growth"	2016
	HSD in Mechanical Engineering <i>I.I.S. Aldini Valeriani, Italy</i> Final dissertation: "Money"	2013
Teaching experience	Teaching Assistant Asset Pricing (Grad), TA to G. Camera and M. Eiras <i>University of Bologna, Italy</i>	2021-26
	Financial Econometrics (Grad), TA to G. Moramarco and E. Bacchiocchi <i>University of Bologna, Italy</i>	2024-26
	Financial Economics (UGrad), TA to G. Camera <i>University of Bologna, Italy</i>	2020
	Macroeconomics 2 (UGrad), TA to A. Sørensen <i>Copenhagen Business School, Denmark</i>	2018
Academic service	Refereeing <i>Ecological Economics, Economic Modelling</i>	
	Organization Scientific committee member, Bologna Macro Meeting <i>University of Bologna, Italy</i>	2025
	Organizer, Reading Group in Macro-Finance <i>University of Bologna, Italy</i>	2019-21
	Representation Research Fellows Representative, Council of Department <i>University of Bologna, Italy</i>	2024
	PhD Students Sole representative, Council of Department <i>University of Bologna, Italy</i>	2019-22
	Memberships Italian Financial Economists Association	2025-Now

Grants and honors	"INFER Young Economist Award" – Finalist, INFER Annual Conference	2025
	"Marco Polo Mobility Scholarship", University of Bologna	2022-23
	"PhD Scholarship", University of Bologna	2018-23
	"Er.Go Scholarship", Regional Authority for the Right to Higher Education	2013-16
	"Best laboratory report", Laboratory of Excellence 'Aldini-Ducati'	2012

Professional Experience	Research Assistant <i>Copenhagen Economics A/S, Denmark</i>	2017
	Planning and Control Intern <i>Bologna Local Health Authority, Italy</i>	2014

Relevant IT skills	Advanced: $\LaTeX$, R
	Basic: Matlab, Python, MS Excel, Stata, MS Access

Publications	The Innovation Long-Run Risk Component <i>Journal of Monetary Economics</i> , 2026, Vol. 163
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Working papers	Does CAPM Overestimate Risk or Its Price More?
	Empirical returns systematically depart from CAPM predictions, with deviations declining in asset betas. This paper decomposes this pattern into mismeasurement of risk and the risk premium, using a framework that accounts for leverage constraints and multiple risk factors. This spans and generalizes two previously separate explanations of the anomaly, showing how bid-ups for high-risk assets arise from funding tightness in the presence of risks beyond market exposure. Crucially, even with binding constraints, any factor model can be expressed as a single aggregate risk measure multiplying the expected market return. Funding tightness and exposure to omitted risks are then demonstrated to offset each other in explaining the beta-related departures, with their relative contributions quantifiable. GMM estimates show both channels are significant, with omitted risks accounting for a larger share, and the spread generated by funding tightness at around 2% per year.

Are You Betting On Sustainability?

Shocks to aggregate Research and Development (R&D) exert persistent effects on macroeconomic dynamics and represent a significant source of risk for investors, consistent with 'long-run risk' models. The analysis focuses on 'effective R&D', the unique scaling of R&D that, across a broad class of models, maintains a linear relationship with productivity growth. This measure theoretically captures the entire contribution of R&D to productivity, flexibly accounting for knowledge spillovers and product proliferation. Importantly, its deviations from equilibrium are empirically identifiable via the error correction term in the cointegration relationship among R&D, total factor productivity, and the labor force. Using U.S. data, structural R&D shocks, based on effective R&D, are shown to affect productivity and consumption growth rates beyond business cycle horizons, and to be associated with a significant risk premium (around 12% annually) in a cross section of stock and bond portfolios, with cash-flow risk a key determinant.

Research in progress

Uncertain Innovation

with A. Renzetti

State-Dependent Asset Pricing Models

with E. Ossola and L. Trapani

Local Physical Climate Uncertainty

with G. Cavaliere and L. Fanelli

The Temperature Long-Run Risk Component

Presentations

2026: "IMEN" seminar series*; RCEA International Conference** (Comillas Pontificia University, ES); UCSC (Milan, IT); 2nd CAM-Risk Conference (University of Pavia, IT); University of Milano-Bicocca (IT)

2025: 27th INFER Annual Conference [session chair] (Sapienza University, IT); 11th ICEEE** (University of Palermo, IT); 2nd Climate-Macro-Finance Interface Conference (Bayes Business School, UK); University of Milano-Bicocca (IT); "GrEn-FiN Frontiers" seminar series

2024: University of Bologna (IT); "INSPIRE" seminar series

* planned; ** by coauthor